

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

MARINE TRANSPORT LOGISTICS, INC., *Complainant*

v.

CMA CGM, S.A., *Respondent*.

DOCKET NO. 22-23

Served: January 31, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON MOTIONS TO COMPEL

I. Introduction

On December 22, 2023, Respondent CMA CGM, S.A. (“CMA”) filed a motion to compel (“Motion”). On December 27, 2023, Complainant Marine Transport Logistics, Inc. (“MTL”) filed a response and cross-motion to compel (“Opposition”). On December 29, 2023, Respondent filed a reply to the cross-motion to compel (“Reply”).

In its motion, CMA argues that MTL has not stated what steps it took to identify requested information when it states it does not have sufficient information to respond; MTL has objected to numerous requests on the basis of relevance; and MTL has produced documents in Russian text with no translation. Motion at 3-4. In its reply, CMA asserts that the cross-motion is moot; fails to comply with 46 C.F.R. § 502.150(a); and fails on the merits. Reply at 3-6.

In its short opposition, MTL contends that it requested legal authority requiring it to provide translated discovery documents; taxes and financial statements may be provided by deposition; and it relies on the arguments it made during discovery regarding its responses. Opposition at 1. In addition, MTL filed a cross-motion to compel responses to MTL’s request for documents numbers 6 and 7. Opposition at 2.

The Commission’s Rules permit discovery “regarding any nonprivileged matter that is relevant to any party’s claim or defense.” 46 C.F.R. § 502.141(e)(1).

On motion or on its own, the presiding officer may limit the frequency or extent of discovery otherwise allowed by these rules if the presiding officer determines that:

(A) The discovery sought is unreasonably cumulative or duplicative, or can be obtained from some other source that is more convenient, less burdensome, or less expensive;

(B) The party seeking discovery has had ample opportunity to obtain the information by discovery in the action; or

(C) The burden or expense of the proposed discovery outweighs its likely benefit, considering the needs of the proceeding, the amount in controversy, the parties' resources, the importance of the issues at stake in the action, and the importance of the discovery in resolving the issues.

46 C.F.R. § 502.141(e)(2)(ii). The Commission's Rules also permit the presiding officer to "issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense." 46 C.F.R. § 502.141(j). Further, the Commission's Rules governing the production of documents or electronically stored information provides that parties "must produce the documents as they are kept in the usual course of business or must organize and label them to correspond to the categories in the request" and "need not produce the same electronically stored information in more than one form." 46 C.F.R. § 502.146(b)(2)(v)(A, C).

II. CMA's Motion to Compel

The parties' arguments are primarily found in attachments to the motion as neither party complied with the Initial Order requirements for filing and responding to motions to compel. *See* Initial Order at 3. The parties focus on three main categories which will be addressed in turn: foreign language translations of discovery provided, insufficient information to respond to requests for admissions, and relevance. Thereafter, the cross-motion is addressed.

A. Foreign Language Translation of Discovery Documents

CMA asserts that MTL has not provided translations of Russian language text messages produced in discovery, arguing that this is contrary to Commission Rule 7. Motion at 2, 4. MTL contends that "[c]ertified translations will, of course, be used with any foreign language exhibits that may be used in the final brief, but I asked CMA if they have any legal authority on whether I am obligated to provide certified translations with the documents written in foreign language while responding to a first request for the production of documents." Opposition at 1.

Commission Rule 7 states:

Every document, exhibit, or other paper written in a language other than English and filed with the Commission or offered in evidence in any proceeding before the Commission under this part or in response to any rule or order of the Commission pursuant to this part, shall be filed or offered in the language in which it is written and shall be accompanied by an English translation thereof duly verified under oath to be an accurate translation.

46 C.F.R. § 502.7.

Commission Rule 7 explicitly applies to documents "filed with the Commission or offered in evidence." 46 C.F.R. § 502.7. Pursuant to Commission Rule 2 and the Initial Order, discovery materials must not be filed until used in the proceeding. 46 C.F.R. § 502.2(k); Initial Order at 3. Therefore, Rule 7 does not apply to discovery that is exchanged between the parties.

Moreover, typically in Commission proceedings, each party bears its own attorney's fees and costs. See FMC Docket No. 15-06. There is no basis to shift the cost of translating to an opposing party. Accordingly, the request to require MTL to provide translation of documents provided in discovery is denied.

B. Request for Admissions

CMA asserts that "MTL has disclaimed sufficient information to admit or deny in its response to numerous questions but has not stated what steps it took to identify the relevant requested information," arguing that this is contrary to Commission Rule 147(a)(4). Motion at 3. Of the 26 requests for admission, eight are at issue: 1, 3, 4, 5, 6, 10, 11, and 12.

For each of the eight, MTL responded, at least in part, that it "[d]enies information sufficient to admit or deny." Motion, Attachment D, MTL's Response to CMA's First Notice to Admit, at 1-2. In addition, MTL objected to three admission requests for vagueness and stated that information was being verified for another. *Id.*

Commission Rule 147(a)(4) regarding requests for admission states:

Answer. If a matter is not admitted, the answer must specifically deny it or state in detail why the answering party cannot truthfully admit or deny it. A denial must fairly respond to the substance of the matter; and when good faith requires that a party qualify an answer or deny only a part of a matter, the answer must specify the part admitted and qualify or deny the rest. The answering party may assert lack of knowledge or information as a reason for failing to admit or deny only if the party states that it has made reasonable inquiry and that the information it knows or can readily obtain is insufficient to enable it to admit or deny.

46 C.F.R. § 502.147(a)(4). This Rule is similar to Federal Rule of Civil Procedure 36(a)(4).

"[R]equests for admissions are designed to secure the just, speedy and inexpensive determination of actions by avoiding the time, trouble and expense required to prove undisputed facts which should be admitted." *LaForte v. Horner*, 833 F.2d 977, 982 (Fed. Cir. 1987). The Third Circuit explained requests for admission in another case:

Where, as here, issues in dispute are requested to be admitted, a denial is a perfectly reasonable response. Furthermore, the use of only the word "denied" is often sufficient under the rule. "Regardless of the subject matter of the Rule 36 request, the statement of the fact itself should be in simple and concise terms in order that it can be denied or admitted with an absolute minimum of explanation or qualification." "A request for an admission, except in a most unusual circumstance, should be such that it could be answered yes, no, the answerer does not know, or a very simple direct explanation given as to why he cannot answer, such as in the case of privilege."

United Coal Companies v. Powell Const. Co., 839 F.2d 958, 967–68 (3d Cir. 1988) (citations omitted). "Boilerplate responses that [one] simply lacks knowledge or information do not suffice." *Est. of Majors v. Gerlach*, 2018 WL 3429979, at *1 (E.D.

Mich. July 16, 2018) (citing 8B Charles Alan Wright, et al., Federal Practice & Procedure § 2261 (3d ed.) (“A general statement that it can neither admit nor deny, unaccompanied by reasons, will be held an insufficient response.”)).

Pursuant to caselaw, MTL’s answers that it lacks knowledge, without reasons, are not sufficient. However, Request for Admission 1 will be rephrased to: “On or about February 24, 2022, a substantial conflict began between Ukraine and the Russian Federation that significantly affected commerce and transportation to/from Ukraine,” as suggested by CMA. In addition, if MTL believes that a question is vague, it may deny the request for admission on that basis. The parties will then need to address the fact in their briefs. In addition, as discovery is about to conclude, MTL should have completed its verification of information and should be prepared to respond to the requests for admission.

Accordingly, MTL is ordered to provide supplemental responses to these eight requests for admission. To the extent that MTL has made a reasonable inquiry, the inquiry it undertook must be explained in the response.

C. Relevance

CMA asserts that the “requests are not only highly relevant but also necessary for Respondent’s defenses to Complainant’s claims, for which Respondent is entitled to obtain discovery, and without which it will be unable to present its defenses,” and addresses the relevance of each request. Motion at 4-8. MTL objects to a number of the requests as not relevant and asserts that taxes and financial statements are not required where information can be obtained from depositions. Opposition at 1-2. MTL does not raise relevance objections to the Request for Admissions, only the Interrogatories and Request for Production of Documents.

Commission Rules require that requested discovery be “relevant to any party’s claim or defense.” 46 C.F.R. § 502.141(e)(1). The interrogatory requests are discussed first, followed by the requests for production of documents.

1. Interrogatories

Interrogatories 4-8 ask about each export shipment MTL made from 2020-2022. MTL objects that each of these requests is “too broad and does not lead to any discoverable evidence that is relevant to the issue of whether CMA committed a violation of the Shipping Act.” Motion, Attachment H, at 5-7. CMA responds that each of these interrogatories is “relevant as it goes to the issue of whether MTL’s experience in 2022 was unusual, as well as the portion of MTL’s export shipments that faced difficulties - which relates to the reasonableness of CMA’s actions, a matter as to which MTL bears the burden of proof and which CMA is entitled to defend.” *Id.*

Responses to Interrogatory 4 regarding the number of U.S. export shipments made by MTL and Interrogatory 6 regarding destinations where MTL shipped export cargo will be compelled. These are general questions relevant to MTL’s business. However, the request to compel responses to Interrogatories 5, 7, and 8, requesting specifics about each export shipment, such as bill of lading number, shipper, consignee, etc. as well as vessel-operating-common carrier (“VOCC”) names are denied. The Shipping Act prohibits practices which are unreasonable, not unusual. Specifics about each shipment and names of competing carriers are

not relevant to determining whether CMA violated the Shipping Act, would be burdensome to produce, and involve the disclosure of nonparty information.

Interrogatories 15-19 ask about each export shipment MTL made to Ukraine from December 2021-March 2022. MTL objects on the basis that Interrogatories 15-19 would “not lead to any discoverable evidence that is relevant to the issue of whether CMA committed a violation of the Shipping Act.” Motion, Attachment H, at 7-8. CMA responds that Interrogatories 15-19 are “wholly relevant to the facts and circumstances of the instant dispute. This interrogatory is material to MTL’s experience with shipments to Ukraine during the specific time frame, which goes directly to the reasonableness of CMA’s actions and whether the alleged violations were ‘practices’ or singular events caused by the unanticipated and sudden closure of the port of destination (Odessa).” *Id.*

While the reasonableness of CMA’s actions and whether the alleged violations were ‘practices’ or singular events caused by the unanticipated and sudden closure of the port is a relevant inquiry, these interrogatories are not responsive to that inquiry. These questions ask about shipments to Ukraine, including the name of the VOCC and whether it was diverted or arrived in Ukraine. To the extent the shipments were carried by CMA, CMA would have that information already. For shipments carried by CMA’s competitors, that information is not relevant to whether CMA’s practices are singular events. Therefore, responses to Interrogatories 15-19 are not compelled.

Interrogatory 20 requests information for each of the subject shipments, including bill of lading information, surcharges, refunds or waivers from CMA, outstanding amounts owed to CMA, and all payments made by MTL’s customer to MTL. MTL provided a response to this question, indicating that CMA is in possession of most of the information, providing answers to a number of subparts, and referring to the “Kodryanka transactions” document. Motion, Attachment H, at 8-9. CMA asserts that the questions are relevant, that CMA may have the information is irrelevant, and that the “Kodryanka transactions” document is not decipherable. *Id.*

“The fact that the moving party is already in possession of documents it seeks to obtain by inspection, is not necessarily a sufficient reason for denying discovery.” *Cook v. Rockwell Int’l Corp.*, 161 F.R.D. 103, 105 (D. Colo. 1995). “[T]he purpose of the discovery rules is not only to elicit unknown facts, but also to narrow and define the issues, and for this purpose it is often necessary to use discovery about known facts.” *Id.* (citing 8 Charles A. Wright, Arthur R. Miller & Richard L. Marcus, *Federal Practice & Procedure*, § 2014 (1994)). However, here, MTL did not object to the question nor did it refuse to answer. To the extent that the “Kodryanka transactions” document is not decipherable, CMA may ask about it in depositions. Moreover, if the document will be part of the record, it is in MTL’s interest to ensure it is understandable. No additional information regarding Interrogatory 20 is compelled, although MTL may supplement its response.

Interrogatories 22, 23, 26, and 28 ask about when and how MTL’s customer advised MTL of the change in destination. MTL objects to relevance, asserting that “the operative inquiry is when MTL advised CMA of any change in destination, not when MTL’s customer advised MTL. This inquiry has no bearing on whether CMA violated the Shipping Act.” Motion, Attachment H, at 9-11. CMA contends:

[T]his request is wholly relevant to the facts and circumstances of the instant dispute. In determining whether CMA acted reasonably quickly in response to MTL's requests for changes of destination and changes of consignee, it is clearly relevant to know how long MTL itself sat on the request from its customer. This is especially so as MTL is claiming it lost business due to CMA's alleged actions or inactions. If MTL delayed reacting to or ignored its own customer's requests, such action by MTL may well be the real cause of any purported lost business.

Id.

The relevant information is when CMA received the request, not when MTL received it from their customer. Therefore, responses to Interrogatories 22, 23, 26, and 28 are not compelled. However, if this information has already been provided in a deposition or other discovery response, it may be submitted in the briefing. Interrogatories 24 and 27 relate to MTL's request to CMA, which is relevant to these shipments and communication between the parties, and therefore MTL must provide responses.

Interrogatories 30, 31, 32, and 33 seek an explanation as to exactly how MTL calculates its injury. MTL does not object to these Interrogatories but refers generally to the documents provided, for example stating: "In addition to the documents disclosed as part of these responses, along with the projected loss of such revenue over the course of several years, this amount additionally includes reputational damage" and MTL "reserves the right to supplement this response as the full extent of MTL's damages is not yet known. Alla Solovyeva will be produced to testify on this point during the deposition." Motion, Attachment H, at 12-13. CMA contends that this "interrogatory requires identification of specific documents MTL asserts support its claim for reparations, not just vague references to unlabeled documents generally." *Id.*

At this time when discovery is concluding, MTL must provide complete responses regarding its calculation of injury. The Shipping Act only allows reparations for actual injury and evidence regarding MTL's calculation of actual injury is relevant. Moreover, prompt disclosure may motivate settlement discussions. Therefore, responses to Interrogatories 30, 31, 32, and 33 are compelled.

2. Request for Production of Documents

Specific requests for production of documents ("RFD") are discussed after addressing the general deficiencies. CMA lists general deficiencies in responses to the request for production of documents, including difficulty discerning which documents are responsive to which requests; lack of translations; and lack of labels, bates-stamps, or organizational system. MTL responds to the language translation issue, which is addressed above.

Commission Rule 146(b)(2)(v) requires:

(A) A party must produce documents as they are kept in the usual course of business or must organize and label them to correspond to the categories in the request;

(B) If a request does not specify a form for producing electronically stored information, a party must produce it in a form or forms in which it is ordinarily maintained or in a reasonably usable form or forms; and

(C) A party need not produce the same electronically stored information in more than one form.

46 C.F.R. § 502.146(b)(2)(v). For the requests for production that Respondent is compelled to respond to, addressed below, Respondent must produce documents as they are kept in the usual course of business or must organize and label them to correspond to the categories in the request, as required by Commission rules.

RFD 1 seeks documents identified in response to the Interrogatories. CMA asserts that MTL has provided no documents in response to three interrogatories. Motion, Attachment H, at 14. MTL does not object and asserts that documents are being produced. *Id.* This request is reasonable and granted to the extent that the interrogatories are required to be answered.

For RFDs 3, 4, and 6, MTL does not object and asserts that responsive documents are being produced. Motion, Attachment H, at 15-16. At this stage in discovery, complete responses to these requests should have been provided. To the extent the provision of responsive documents is not complete, those responses are hereby compelled. However, as indicated above, MTL is not obligated to provide foreign language translations.

RFD 5 seeks copies of “any claims, demands, or disputes, threatened or actual, that MTL has sent to any VOCC other than CMA from 2019-present.” Motion, Attachment H, at 16. MTL asserts that this request is not relevant while CMA asserts that it “goes to the issue of whether MTL’s experience with Respondent was unusual, which relates to the reasonableness of CMA’s actions.” *Id.* Other claims by MTL are not relevant to whether CMA violated the Shipping Act. Accordingly, this request is denied.

RFD 7 seeks a spreadsheet with “all cargo exported from the U.S. by MTL on any VOCC in each calendar year 2019-2022.” Motion, Attachment H, at 17. MTL objects to relevance and CMA asserts that this is relevant to damages, including consequential and reputational damages as well as claims that MTL lost customers. *Id.* As discussed above, specific details regarding each shipment made by MTL is not relevant to this proceeding, including damages. Accordingly, this request is denied.

RFDs 8 and 9 seek MTL’s federal and state tax returns for each of the most recent three years and financial statements for 2019-2021. Motion, Attachment H, at 17-18. MTL objects to the requests as not relevant while CMA asserts that they are relevant to damages and argues that Complainant has “opened the door” to assessment of its financial situation. *Id.*; Motion at 7-8. While typically a complainants’ financial documents may not be relevant, here, MTL asserts lost profits, loss of reputation, and other financial impacts on its business, which make these documents relevant to CMA’s defense of the reparations claims. Accordingly, these requests are granted and production of these documents is compelled.

RFDs 10 and 11 seek “internal and third-party communications” related to MTL’s complaints in this proceeding and in FMC Docket No. 18-07. Motion, Attachment H, at 18. MTL

objects based on privilege and CMA asserts that a privilege log should be provided. Pursuant to the Initial Order, a “party withholding documents because of an asserted privilege must serve a privilege log that complies with the requirements of Federal Rule of Civil Procedure 26(b)(5)(A).” Initial Order at 3. Therefore, this request is granted and MTL is required to provide a privilege log.

III. MTL’s Cross-Motion to Compel

MTL seeks responses to its Request for Documents 6 seeking “all formal and informal complaints from other clients of CMA concerning demurrage, detention, storage, and container roll-over charges for years 2020 to 2023, and all documents concerning the resolution of such complaints.” Opposition, Exhibit 1, at 5-6. MTL also seeks a response to its Request for Documents 7 seeking any “documents that show the revenue generated by CMA from demurrage/detention/storage charges between the years 2018-2023.” Opposition, Exhibit 1, at 6.

CMA contends that the cross-motion is procedurally deficient and that:

Requests 6 and 7 are extremely broad, extending well beyond the scope of permissible discovery, and MTL has not even attempted to demonstrate their import or relevance. If Requests 6 and 7 are limited to documents within the scope of discovery afforded by the FMC Rules, any further production is unlikely to add documents beyond those already produced. Accordingly, Complainant’s Motion is effectively moot.

Reply at 3.

The parties are required to confer prior to filing motions to compel as often discovery disputes can be resolved between the parties. However, to expedite the proceeding, this cross-motion will not be rejected for failure to meet the motion to compel procedural requirements.

CMA asserts that the motion is moot but it is not clear what CMA means by “documents within the scope of discovery afforded by the FMC Rules.” Reply at 3. Clearly, there are significant differences in what the parties believe is within the scope of the Commission’s discovery rules and it is not clear how the cross-motion is moot.

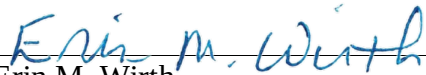
Section 41102(c) of the Shipping Act requires complainants to establish that the “claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis.” 46 C.F.R. § 545.4. MTL’s Request for Documents 6, regarding complaints from other clients of CMA, is directly relevant to this element of the claim. The request is limited to complaints regarding demurrage, detention, storage, and container roll-over charges for years 2020 to 2023. Because the Amended Complaint is limited to shipments in 2022, this request will be limited to just the year 2022. A response to MTL’s Request for Documents 6 as amended is compelled.

MTL does not explain how CMA’s revenue from demurrage, detention, or storage charges is relevant to the alleged Shipping Act violation or MTL’s actual injury. Therefore, MTL’s request to compel a response to its Request for Documents 7 is denied.

IV. Conclusion

Accordingly, it is hereby **ORDERED** that Respondent's motion to compel be **GRANTED IN PART AND DENIED IN PART** and that Complainant's cross-motion to compel be **GRANTED IN PART AND DENIED IN PART**.

The parties must answer the discovery as stated above and provide the requested documents by February 15, 2024. Failure to do so may lead to an adverse inference regarding those facts. Given the timing of the proceeding, any additional concerns about discovery should be raised in the parties' briefs on the merits. No further motions may be filed.


Erin M. Wirth
Chief Administrative Law Judge